

Small-Cap Equity Mutual Funds



These funds **invest in companies that are ranked below 251 in market capitalization.**

As these companies are even smaller in size, they have an even higher potential to grow and deliver profitable returns to their investors. However, they are more volatile and come with high risk.

Beyond the main types, there are several other actively managed equity funds:

Fund Type	Investment Approach	Portfolio Composition	Flexibility	Tax Benefits
Large & Mid-Cap Funds	Invest in both large & mid-cap stocks. Combine stability of large-cap with growth potential of mid-cap stocks.	Large & Mid-Cap Stocks.	Limited to Large & Mid-Cap Stocks.	No
Multi-Cap Funds	Invest in a mix of large, mid, and small-cap companies. Allocate at least 25% to each category. Flexibility based on market conditions.	Large, Mid, Small Caps.	Mandatory atleast 25% in large, mid and small-cap stocks each.	No
Flexi-Cap Funds	Most flexible equity funds. Invest in any company size based on market conditions. No set limits.	Any Company Size.	unrestricted allocation based on market conditions.	No